

Owning a Condo

Some people decide to own a condo or townhome as opposed to a single-family home. You can share some costs with others, and you don't have to do as much of the work yourself. In exchange for these benefits, you have to pay homeowners association dues (HOA dues) or some similar fee. HOA dues pay for your property's insurance (but not for insurance on anything inside your unit), yard work, some utilities, and more.

When shopping for a condo, make sure you consider the HOA dues in your budget. You might talk about mortgage costs with a lender, but don't forget that you'll owe an extra \$100 to \$500 per month for HOA dues. Higher HOA dues often mean that you get more from the HOA, but not always. Work with your real estate agent to understand how the HOA works and if it's going to be worth it.